

TCI Express continues to maintain revenue guidance of Rs.20 bn in next 3-4 years

- Revenue at ₹3,099 Mn vs ₹2,734 Mn (+13% YoY) vs ₹3,099 Mn (+7% QoQ)
- EBITDA at ₹515 Mn vs ₹453 Mn (+14% YoY) vs ₹428 Mn (+20% QoQ)
- EBITDA Margin at 16.6% vs 16.5% (YoY) vs 14.7% (QoQ)
- Adj PAT at ₹378 Mn vs ₹340 Mn (+11% YoY) vs ₹310 Mn (+22% QoQ)
- EPS at ₹9.82 vs ₹8.84 (YoY) vs ₹8.06 (QoQ)

Outlook:

- The management is confident of reaching Rs 20bn turnover in the next 3-4 year period i.e. CAGR growth of ~17% (considering 3 years from FY22)
- With scale EBITDA and PBT are expected to grow at a higher CAGR of ~25% over the same period
- Buy-Back Update:** Amount Allotted: Rs 750mn (utilized till date Rs 173mn i.e. 23% for purchase of 93,500 shares average pricing Rs 1846/= {maximum buy-back price Rs 2050}

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net sales	10,320	8,440	10,815	12,732	14,642
EBIDTA	1,213	1,343	1,747	2,024	2,497
Margins	11.8	15.9	16.2	15.9	17.1
PAT (adj)	891	1,006	1,288	1,485	1,831
growth (%)	22.3	12.9	28.1	15.3	23.3
EPS	23.2	26.2	33.5	38.6	47.6
P/E (x)	80.5	71.5	55.9	48.5	39.3
P/B (x)	21.3	16.6	13.4	11.0	9.0
EV/EBITDA (x)	58.7	52.8	40.6	35.0	28.1
RoE (%)	26.4	23.2	24.0	22.7	22.8
ROCE (%)	33.4	28.8	30.7	28.7	29.1

Source: Dalal and Broacha

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	2,016	8

Market data

Current price	Rs	1,869
Market Cap (Rs.Bn)	(Rs Bn)	72
Market Cap (US\$ Mn)	(US\$ Mn)	871
Face Value	Rs	2
52 Weeks High/Low	Rs	2,572 / 1,442
Average Daily Volume	('000)	170
BSE Code		540212
Bloomberg		TCIEXP.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	66.66	66.69
Public	33.34	33.31
Total	100	100

Source: BSE

Kunal Bhatia
+91 22 67141442
kunal.bhatia@dalal-broacha.com

Bhavya Gandhi
+91 22 6714 1486
bhavya.gandhi@dalal-broacha.com

Conference Call Highlights

- **Guidance & Price Hike**
 - **FY23 Guidance**
 - Maintains revenue growth at 18-20%
 - **FY24 Guidance**
 - 20%+ revenue growth to reach Rs 20bn Revenue by FY25 with Ebitda margins of 20%
 - **Price Hike**
 - Price increase ~1% YTD 1.5% full year estimated 2.5%
- **MARGIN improvement led by**
 - Higher utilization due to Pre-Diwali festive demand
 - Automation in Gurgaon sorting centre leading to improvement in turnaround time and lowering labor cost
 - Higher contribution from Sme
- **Volume Details**
 - +12.5% YoY @ 2.47 lacs +7% QoQ
- **Sorting Centres**
 - Capex H1FY23 Rs 50 crs towards Kolkata land and branch expansion + automation (Size : 2 lac sq.ft)
 - Sorting centers planned at Chennai , Kolkata, Mumbai Ahmedabad
- **Network Expansion**
 - Branches added +22 YTD, plan to add 50 more FY23 and 100 FY24
- **Other Details**
 - SME : LARGE CLIENT MIX = 52% : 48%
 - C2C express 14% growth and rail express too did well
 - Truck utilization @ 85%
 - No slowdown witnessed yet in current months
 - Auto and Retail sector witnessed highest growth, pharmaceutical was flat
 - Working Capital increased by ~9 days mainly due to lower creditors days for booking vendors || should normalize by year end

Quarterly Financials

Rs MNS	Q2FY23	Q2FY22	Growth	Q1FY22	Growth
Sales	2904.4	2229.2	30.3	2981.8	(2.60)
Other income	19.3	16.4	17.7	21.0	(8.10)
Total Revenue:	2923.7	2245.6	30.2	3002.8	(2.63)
Expenses:-					
Operating Expenses	2009.8	1522.9	32.0	1994.2	0.78
% to Operating Income	69.2%	68.3%		66.9%	
Employee benefift expenses	308.6	255.6	20.7	292.8	5.40
% to Operating Income	10.6%	11.5%		9.8%	
Other expenses	158.10	129.90	21.7	192.80	(18.00)
% to Operating Income	5.4%	5.8%		6.5%	
Total Expenses	2,476.50	1,908.40	29.8	2,479.80	(0.13)
EBITDA (exc OI)	427.90	320.80	33.4	502.00	(14.76)
EBITDA Margin %	14.73%	14.39%		16.84%	
EBITDA	447.20	337.20	32.6	523.00	(14.49)
Depreciation	33.18	22.30	48.8	31.60	5.00
Interest	2.9	1.1	163.6	2.9	-
PBT	411.12	313.80	31.0	488.50	(15.84)
PBT %	14.16%	14.08%		16.38%	
Tax expenses	100.90	76.20	32.4	129.20	(21.90)
<i>Tax Rate</i>	<i>24.5%</i>	<i>24.3%</i>		<i>26.4%</i>	
PAT	310.22	237.60	30.6	359.30	(13.66)
Adjusted PAT	310.22	237.60	30.6	359.30	(13.66)
NPM	10.61%	10.58%		11.97%	
Equity	77	76.9	0.1	77	-
EPS	8.06	6.18	30.4	9.33	(13.66)

Valuation & Outlook

The management is confident of reaching Rs.20bn turnover in the next 3-4 year period i.e. CAGR growth of ~17% (considering 3 years from FY22), however with scale,EBIDTA and PBT are expected to grow at a higher CAGR of ~25% over the same period.

Higher value added business, increase in branches (+75 in FY23 and +100 in FY24) and automation will reduce the turnaround time and improve utilization for TCI express and efficiency for its clients.

AT CMP of Rs 1,870 the stock trades at 49x FY23e EPS of Rs 38.6 and 39x FY24e EPS of Rs 47.5. We maintain “Buy on Dips” with a revised target price of Rs 2,016 valuing company at 42x FY24e EPS

(Buy-Back Update: Amount Allotted: Rs 750mn (utilized till date Rs 173mn i.e. 23% for purchase of 93,500 shares average pricing Rs 1,846/= {maximum buy-back price Rs 2,050})

Financials

P&L (Rs mn)	FY19E	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY19E	FY20	FY21	FY22	FY23E	FY24E
Net Sales	10,237.9	10,319.6	8,439.9	10,814.6	12,732.1	14,641.9	Net Profit	728.4	890.8	1,006.0	1,288.5	1,485.1	1,831.2
Raw Materials	(7,533.8)	(7,341.6)	(5,667.3)	(7,329.7)	(8,670.0)	(9,814.7)	Add: Dep. & Amort.	65.3	77.9	89.7	99.8	132.0	150.2
Employee Cost	(858.5)	(1,018.0)	(873.4)	(1,099.4)	(1,264.3)	(1,454.0)	Cash profits	793.7	968.7	1,095.7	1,388.3	1,617.1	1,981.4
Other Expenses	(655.7)	(747.0)	(556.0)	(638.3)	(773.9)	(876.1)	(Inc)/Dec in						
Operating Profit	1,189.9	1,213.0	1,343.2	1,747.2	2,023.8	2,497.1	-Sundry debtors	(87.6)	(26.3)	(36.9)	(200.8)	(336.1)	(334.7)
Depreciation	(65.3)	(77.9)	(89.7)	(99.8)	(132.0)	(150.2)	-Inventories	-	-	-	-	-	-
PBIT	1,124.6	1,135.1	1,253.5	1,647.4	1,891.8	2,346.9	-Loans/advances	(26.9)	(23.7)	(51.4)	(152.2)	(35.6)	(39.1)
							-Current Liab and						
Other income	31.9	43.7	76.5	81.7	104.9	114.6	Provisions	46.8	(104.3)	180.3	66.7	115.7	150.1
Interest	(37.8)	(9.0)	(7.8)	(9.1)	(12.0)	(14.3)							
							Change in working						
PBT	1,118.7	1,169.8	1,322.2	1,720.1	1,984.7	2,447.2	capital	(67.7)	(154.3)	92.0	(286.3)	(255.9)	(223.8)
Exceptionals	-	-	-	-	-	-	CF from Oper.	726.0	814.4	1,187.7	1,102.0	1,361.2	1,757.6
Profit before tax (post							activities						
exceptional)	1,118.7	1,169.8	1,322.2	1,720.1	1,984.7	2,447.2							
Provision for tax	(390.3)	(279.0)	(316.2)	(431.6)	(499.5)	(615.9)	CF from Inv. activities	(252.7)	(598.6)	(1,005.1)	(944.1)	(739.8)	(615.3)
Reported PAT	728.4	890.8	1,006.0	1,288.5	1,485.1	1,831.2							
MI	-	-	-	-	-	-	CF from Fin. activities	(424.0)	(260.9)	(36.3)	(250.2)	(241.6)	(356.2)
Net Profit	728.4	890.8	1,006.0	1,288.5	1,485.1	1,831.2							
Adjusted Profit (excl Exc	728.4	890.8	1,006.0	1,288.5	1,485.1	1,831.2	Cash						
							generated/(utilised)	49.3	(45.1)	146.3	(92.3)	379.8	786.1
							Cash at start of the year	121.8	171.1	126.0	272.3	180.0	559.8
							Cash at end of the year	171.1	126.0	272.3	180.0	559.8	1,345.9
								-	-	-	-	-	-
Balance Sheet	FY19E	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY19E	FY20	FY21	FY22	FY23E	FY24E
Equity capital	76.6	76.7	76.9	77.0	77.0	77.0	OPM	11.6	11.8	15.9	16.2	15.9	17.1
Reserves	2,595.3	3,296.1	4,261.8	5,284.9	6,473.0	7,938.0	NPM	7.1	8.6	11.8	11.8	11.6	12.4
Net worth	2,671.9	3,372.8	4,338.7	5,361.9	6,550.0	8,015.0	Tax rate	(34.9)	(23.9)	(23.9)	(25.1)	(25.2)	(25.2)
MI	-	-	-	-	-	-							
Non Current Liabilities	78.0	61.5	65.0	81.9	139.9	149.9	Growth Ratios (%)						
							Net Sales	15.7	0.8	(18.2)	28.1	17.7	15.0
Current Liabilities	1,039.8	881.0	1,061.6	1,126.5	1,239.6	1,389.6	Operating Profit	31.3	1.9	10.7	30.1	15.8	23.4
							PBIT	31.6	0.9	10.4	31.4	14.8	24.1
CAPITAL EMPLOYED	3,789.7	4,315.3	5,465.3	6,570.3	7,929.5	9,554.5	PAT	24.7	22.3	12.9	28.1	15.3	23.3
Non Current Assets	1,859.0	2,093.8	2,708.0	3,269.4	4,140.6	4,605.7	Per Share (Rs.)						
							Net Earnings (EPS)	19.0	23.2	26.16	33.47	38.57	47.56
Fixed Assets	1,744.3	1,965.3	2,561.3	3,258.9	4,130.1	4,594.2	Cash Earnings (CPS)	20.7	25.3	28.5	36.1	42.0	51.5
Goodwill	-	-	-	-	-	-	Dividend	2.9	4.6	4.0	8.0	7.7	9.5
Non Current Investments	114.7	128.5	146.7	10.5	10.5	11.6	Book Value	69.8	87.9	112.8	139.3	170.1	208.2
Deferred Tax Asset	-	-	-	-	-	-	Free Cash Flow	12.4	5.6	4.7	4.1	16.1	29.7
Long Term Loans and													
Advances	-	-	-	-	-	-							
							Valuation Ratios						
Current Assets	1,930.7	2,221.5	2,757.3	3,300.9	3,788.9	4,948.8	P/E(x)	98.3	80.5	71.5	55.9	48.5	39.3
Current investments	-	285.9	587.1	870.0	606.6	606.6	P/B(x)	26.8	21.3	16.6	13.4	11.0	9.0
Inventories	-	-	-	-	-	-	EV/EBIDTA(x)	60.0	58.7	52.8	40.6	35.0	28.1
Trade Receivables	1,631.4	1,657.7	1,694.6	1,895.4	2,231.5	2,566.2	Div. Yield(%)	0.2	0.2	0.2	0.4	0.4	0.5
Cash and Bank Balances	171.1	126.0	272.3	180.0	559.8	1,345.9	FCF Yield(%)	0.7	0.3	0.3	0.2	0.9	1.6
Short Term Loans and													
Advances	85.1	91.9	-	-	-	-	Return Ratios (%)						
Other Current Assets	43.1	60.0	203.3	355.5	391.1	430.2	RONW	27%	26%	23%	24%	23%	23%
							ROCE	41%	33%	29%	31%	29%	29%
CAPITAL DEPLOYED	3,789.7	4,315.3	5,465.3	6,570.3	7,929.5	9,554.5	Net D/E	0.0	0.0	0.0	0.0	0.0	0.0

Source: Dalal & Broacha Research, Company

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Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail FMCG Logistics
Ms. Anusha Raheja	Analyst	anusha.raheja@dalal-broacha.com	022-67141449	BFSI
Mr. Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022-67141486	Midcaps
Mr. Harsh Shah	Associate	Harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.
Tel: 91-22- 2282 2992, 2287 6173 | E-mail: equity.research@dalal-broacha.com